

2. 10:00 AM CASE NUMBER: C23-03105
CASE NAME: CEDRIC CHENG VS. DEREK CHU
***FURTHER CASE MANAGEMENT CONFERENCE PROVE UP HEARING**
FILED BY:
TENTATIVE RULING:

Plaintiff Cedric Cheng ("Plaintiff") filed an application on July 29, 2025 seeking entry of a default judgment by the court (the "Request for Entry of Default Judgment"). The Request for Entry of Default Judgment was initially rejected because of "IMPROPER AMOUNTS FOR ATTORNEY FEES AND INTEREST." See Notice dated August 20, 2025. The Court's notice instructed Plaintiff to correct and resubmit. The request was not resubmitted. However, a Memorandum of Costs was filed on September 16, 2025 and against on November 25, 2025. The Court later reset the matter for a prove up hearing on February 23, 2026, to further consider the application.

Background

A Complaint was filed herein against defendant Derek Chu ("Defendant") on December 9, 2023 (the "Complaint"). The Complaint alleges that Plaintiff made an initial loan to the Defendant in the amount of \$50,000 which was later increased to \$80,000 (the "Loan"). The Loan was documented by written promissory notes, the last one being executed on or about July 1, 2019, reflecting, at that time, a principal unpaid balance of \$266,766.29, inclusive of accrued interest. The Complaint alleges that Defendant "paid interest payments to [Plaintiff] sporadically." Despite demands for full repayment, the claimed balance was never paid. It is alleged that Defendant was later criminally indicated for running a Ponzi scheme.

A default was entered against Defendant on August 9, 2024.

The principal damages sought are \$266,776.29. In addition, Plaintiff seeks an award of prejudgment interest of \$237,422.00, costs of \$19,993.23 inclusive of attorneys' fees at the Court default schedule rate.

Analysis

If a complaint seeks nonmonetary relief or monetary relief in amounts that require additional evidence beyond a "clerk's judgment" or the exercise of judgment to determine, a plaintiff must request entry of judgment by the court. *Holloway v. Quetel* (2015, 242 Cal. App. 4th 1425, 1432; see Code Civ. Proc. § 585. In those cases the plaintiff must affirmatively establish his or her entitlement to the specific judgment requested: "The court shall hear the evidence offered by the plaintiff, and shall render judgment in the plaintiff's favor for that relief, not exceeding the amount stated in the complaint, in the statement required by [Code of Civil Procedure] [s]ection 425.11, or in the statement provided for by [Code of Civil Procedure] [s]ection 425.115, as appears by the evidence to be just. ..." *Holloway v. Quetel*, *supra*, 242 Cal.App.4th at 1432, quoting Code Civ. Proc. § 585. The court must assure itself that the plaintiff has made a "*prima facie* case" showing entitlement to each type of damages under (1) the relevant statute, contract, or legal doctrine, and (2) the well-pled allegations in its operative complaint. *Johnson v. Stanhiser* (1999) 72 Cal.App.4th 357, 362; *Siry Investment, L.P. v. Farkhondehpour* (2022) 13 Cal.5th 333, 343.

The Court does not conclude that the Plaintiff has made a *prima facie* case showing entitlement to the relief sought. Most significantly, Plaintiff seeks excessive damages that are barred by the doctrine of usury.

The California Constitution provides that parties may contract in writing to set the interest rate on a loan or forbearance “at a rate not exceeding 10 percent per annum.” Cal. Const., art. XV, § 1, (1). In addition, it states that no person “shall by charging any fee, bonus, commission, discount or other compensation receive from a borrower more than the interest authorized by this section upon any loan or forbearance of any money, goods or things in action.” Cal. Const., art. XV, § 1. This plain language makes clear that the stated interest plus any additional “bonus” or “other compensation” cannot exceed the 10 percent rate. *Grados v. Shiau* (2021) 63 Cal.App.5th 1042, 1054.

The Loan’s present balance is over half a million dollars on an initial Loan of \$80,000 in principal, roughly ten years ago. That extraordinary amount of accrued interest is the result of the Loan’s interest term being an “auto-renewal” at 10% every 90 days. That is effectively a per *annum* interest rate of 40%. As structured, the Loan is usurious. The agreed upon reduction of the interest rate that is said to have occurred in or about December 2019, does not cure the issue. The reduced interest rate was then accruing on an amount already including interest accrued at a usurious rate. In any event, 3% per quarter is an effective 12% per annum interest, still usurious.

The Court finds that the rate of interest charged on the Loan was usurious and violated the usury laws. Therefore, Plaintiff is entitled to recover only the principal sum of the Loan, offset by any payments made. When a loan is usurious, the creditor is entitled to repayment of the principal sum only. *Hardwick v. Wilcox* (2017) 11 Cal.App.5th 975, 979 (“Hardwick”). The creditor is entitled to no interest whatsoever. *Id.*, citing *Gibbo v. Berger* (2004) 123 Cal.App.4th 396, 403. The attempt to exact the usurious rate of interest renders the interest provisions of a note void. *Hardwick, supra*, 11 Cal.App.5th at 979. Any interest payments made at the usurious rate must be credited against the principal balance in any action to collect on the note. *Id.* Payments on a usurious note are deemed to apply first to principal. *Hardwick, supra*, 11 Cal.App.5th at 991.

No exemption to the usury laws have been pled or proved up by Plaintiff. Nor does the Court conclude that Plaintiff can avoid the effect of the usurious Loan by couching recovery in terms of the other alleged torts. The application fails to make a *prima facie* showing of properly awardable damages under any of the other theories of recovery.

Disposition

The Court finds and orders as follows:

1. The Request for Entry of Default Judgment is DENIED, without prejudice to resubmittal to amend the amounts sought in accordance with the foregoing.
2. The Court shall issue the order after hearing.

3. 10:00 AM CASE NUMBER: C22-02634

CASE NAME: RENE HOM VS. ERIC TRUE

JURY TRIAL 5-7 DAYS

FILED BY:

TENTATIVE RULING:

Parties to Appear.